

4 Gates (all must pass): Window $\cap$ Macro-clear $\cap$ Term-structure contango $\cap$ IV/RV edge**Risk Engine**

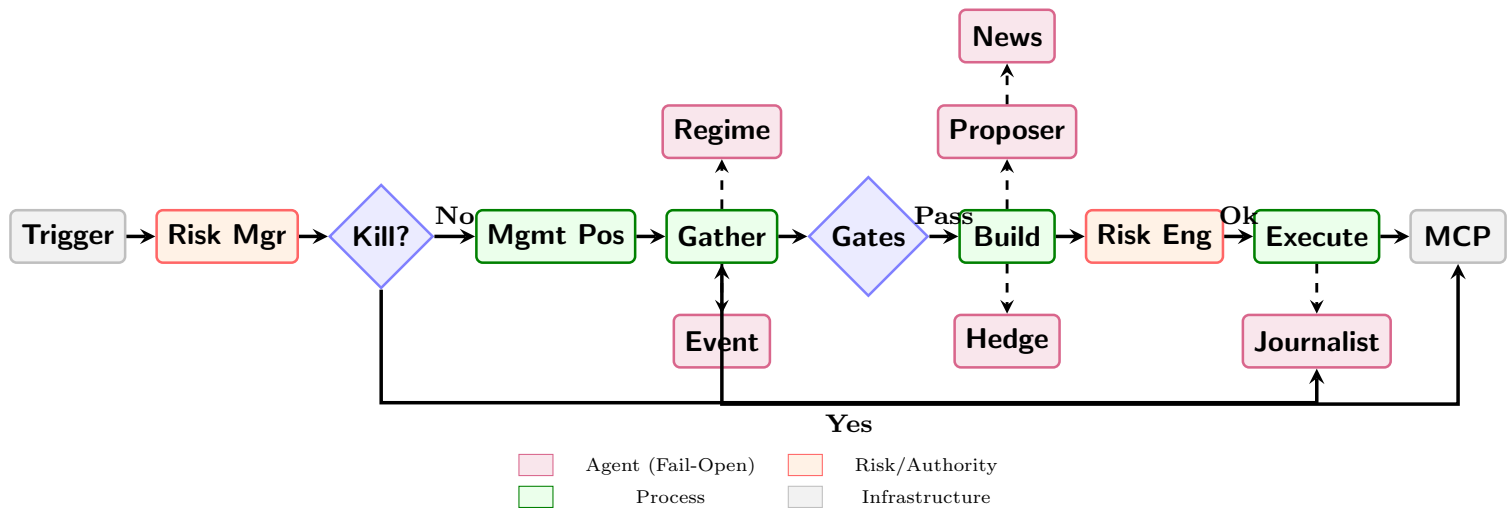
- Kill switch: -3.5% from peak equity
- Daily ladder: -1% halt, -1.5% reduce
- Per position: \$500 target, \$1K hard cap
- Stress: spot $\pm 5\%$ $\times$ vol shock
- ≤ 15 positions, ≤ 3 /underlying/sleeve
- No naked options (atomic 4-leg only)
- Worst stress cell $\geq -\$3,000$ = veto
- De-risk: 50% budget = half size

Results & Performance

- +\$200.69 net (4 days)
 - 7 trades, 6 wins (85.7% win rate)
 - Profit factor: 3.3
 - Peak risk: 1.92% of account
 - Return on risk: +10.6%
 - Worst intraday dip: -0.19%
- Per sleeve breakdown:*
- A Condors: +\$174 (4/4 wins)
- B Earnings: +\$118 (DELL +69, AVGO +49)
- C Insurance: -\$88 (premium cap: \$122)

Infrastructure

- Official Alpaca MCP Server
- Atomic multi-leg limit orders
- SQLite audit trail (every decision)
- Reconciliation every cycle
- Azure VM + systemd (auto-restart)
- Manual overrides: flatten, panic, unhalt
- LangGraph state machine
- Checkpoint replay capability

Execution Pipeline**Quickstart & Commands**

```
git clone https://github.com/Jashwanth63/HedgeMePlease
uv sync --dev
cp .env.example .env # Add Alpaca paper keys
uv run pytest # 102 offline tests
uv run alpaca Account, book, drawdown status
uv run alpaca Chain -> candidates, no orders
uv run alpaca preview SPY
uv run alpaca Full dry-run cycle scan
uv run alpaca One live cycle (places orders) once
uv run alpaca Daemon until contest end loop
uv run alpaca Equity path, trades with reasoning report
```

Testing & Principles

Testing: 102 offline tests — pricing (put-call parity), stress grid, risk ladder, HAR walk-forward, condor builder, executor, full LangGraph against fake broker. *Fail-closed on data; fail-open on LLMs.*

Design Principles:

- Two brains: Agents inform, arithmetic decides
- Every failure has a chosen direction
- Not trading is a position (VIX ~ 14 = tight edge)
- Every decision is written to SQLite
- Reconciliation runs every cycle
- Account never holds anything ledger can't explain

Deployment

Azure VM under systemd (restart on failure, start on boot). One-shot deploy script ships working tree and keys over SSH. Never run daemon in two places against same account.

Evidence & Audit

state/alpaca.db: memos table with every gate reading, candidate menu, chosen proposal, veto verdict, risk verdict, fill, exit, and raw LLM calls. **state/graph_checkpoints.db:** every cycle replayable.